

INCOME TAX REVISION QUESTIONS

1. The table below shows income tax rates for certain year.

Monthly income in Kenya Shillings (Ksh)	Tax rate in each shillings
0 – 10164	10%
10165 – 19740	15%
19740 – 29316	20%
29317 – 38892	25%
Over 38892	30%

A tax relief of Ksh. 1162 per month was allowed. In a certain month of the year, an employee's taxable income in the fifth band was Ksh. 2108.

(a) Calculate

i) Employees total income in that month. **(2 marks)**

ii) The tax payable by the employee in that month. **(5 marks)**



(b) The employee's income includes a house allowance of Ksh. 15,000 per month. The employees contributed 5% basic salary to a cooperative. Calculate the employee net pay for that month. **(3 marks)**

2. The table below shows the income tax rates for a certain year.

Taxable pay per month (ksh)	Tax rate (%)
1 – 9680	10
9681 – 18800	15
18801 – 27920	20
27921 – 37040	25
37041 and above.	30

That year Marylinet paid a net tax of Ksh. 4312 per month. Her total monthly taxable allowances amounted to ksh. 15220 and he was entitled to a monthly relief of ksh. 1062. Every month the following deductions were made; NHIF—ksh. 320, Union dues—*ksh.* 2000 and Co—operative shares—ksh. 500. Calculate;

- (a) Mary Linnet's monthly basic salary in ksh. (7 marks)

- (b) Her monthly net salary in ksh. (3 marks)

3. The table below shows income tax rates in a certain year.



Monthly taxable income (sh)	Tax rate
0 – 12200	10%
12201 – 27200	15%
27201 – 42200	20%
42201 – 57200	25%
57201 and above	30%

In that year, Mr. Nyikuri earned a monthly basic salary of ksh. 39200, medical allowance of ksh. 2400, a house allowance of ksh. 10000, commuter allowance of ksh. 7200 and a non-taxable hardship allowance of ksh. 12000 per month. Mr. Nyikuri contributes 1.5% of his gross income made every month for the affordable housing levy fund. This contribution is exempted from taxation. He has life insurance policy for which he pays a premium of sh. 4500. He is also entitled to monthly personal relief of sh. 1400 and insurance relief of 15% of the premium.

(a) Determine

(i) Mr. Nyikuri's monthly taxable income. (2 marks)

(ii) Mr. Nyikuri's monthly tax paid. (5 marks)

(b) The following deductions are also made from Mr. Nyikuri's gross salary. Helb loan repayment sh. 5000, bank loan repayment sh. 21000, AON minet sh. 2000, SHA 2.75% of gross income and Cooperate shares sh. 4800. Determine Nyikuri's net pay that month. (3 marks)

4. The table below shows monthly tax rates for a certain year.

Monthly income in Kenya Shillings	Tax rate percentages(%) in each shilling.
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Up to 9680	10
9681 – 18800	15
18801 – 27920	20
27921 – 37040	25
Over 37041	30

In the month of February of that year, Nyikuri paid a net tax of ksh. 19760. He was given a house allowance of ksh. 14000 per month and commuter allowance of ksh. 8000 per month. Nyikuri was also entitled to monthly personal relief of ksh. 1350 and monthly insurance relief at the rate of 15% of the premium paid. Each month, he paid a monthly premium of ksh. 4000 towards his life insurance policy.

(a) Calculate;

(i) Gross tax per month. (2 marks)

(ii) Taxable income per month. (3 marks)

(iii) Basic salary per month. (2 marks)

5. The table below shows the income rates for the year 2022.

Income in ksh p.m	Rate in %
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1-8400	10
8401-18,000	15
18001-30,000	20
30,001-36,000	25
36,001-48,000	30
48,000 and above	35

In a certain month, Mr Wandera's income tax in the fifth band was ksh 3000. He is entitled to a personal relief of ksh 1,240 per month.

- (a) Determine.
- (i) Mr Wandera's taxable income. (3marks)
- (ii) His basic salary, given that Mr Wandera's income includes a basic salary, House allowance of ksh 12000 p.m, a commuter allowance of ksh 2,500 and a medical allowance of ksh 3,500. (2marks)
- (b) In addition, the following deductions are made NHIF ksh 250, service charge ksh 150 loan repayment ksh 6000 and cooperative shares ksh 2,600. Calculate his net salary per month. (2marks)
- (iii) His net tax per month. (3marks)
- c) In the month of March the same year, Nyikuri received additional earnings. Given that he paid 25% more tax that month, calculate the percentage increase in his earnings.(3 mks)

6. The table below shows the income tax rate for the year 2023.

Monthly taxable income	Tax rate
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0 – 12200	10
12201 – 24000	15
24001 – 33600	20
33601 – 46200	25
Over 46200	30

Mr. Agani is a civil servant who earns a basic salary of sh. 42000. In addition, he is entitled to the following allowances:

Medical allowance – sh 2500

House allowance – sh 10,000

Commuter allowance – sh 7200

Non-taxable hardship allowance – sh 12,000

Mr. Agani contributes 1.5% of his basic salary towards pension scheme. This contribution is exempted from taxation. He has life insurance policy for which he pays a premium of sh. 4500. He is also entitled to monthly personal relief of sh 1400 and insurance relief of 15% of the premium.

(a) Determine

(i) Mr. Agani's monthly taxable income. (2 marks)

(ii) Net tax paid by Mr. Agani per month. (5 marks)

(b) The following deductions are also made from Mr. Agani gross salary;

Helb loan repayment sh. 5000

Bank loan repayment sh. 21000

AON minet sh. 2000

NHIF 3% of basic salary.

Cooperate shares sh. 4800

Determine Mr. Agani's net income per month. (3 marks)

7. The table below shows income tax rates for certain year.

Monthly income in Kenya Shillings (Ksh)	Tax rate in each shillings
0 – 10164	10%
10165 – 19740	15%
19740 – 29316	20%
29317 – 38892	25%
Over 38892	30%

A tax relief of Ksh. 1162 per month was allowed. In a certain month of the year, an employee's taxable income in the fifth band was Ksh. 2108.

(c) Calculate

iii) Employees total income in that month. **(2 marks)**

iv) The tax payable by the employee in that month. **(5 marks)**

(d) The employee's income includes a house allowance of Ksh. 15,000 per month. The employees contributed 5% basic salary to a cooperative. Calculate the employee net pay for that month. **(3 marks)**

8. The table below shows the income tax for a certain financial year.

Monthly income in Kenyan shillings (kshs)	Percentage rate of tax
10,001 – 18,000	10%

18,001 – 29,500	15%
29,501 – 39,500	20%
39,501 – 49,600	25%
49,601 and over	30%

A civil servant earns a monthly salary of ksh. 32000. She gets a medical allowance of ksh. 2540 and a house allowance equal to 40% of her basic salary.

(a) Determine;

(i) Her monthly taxable pay. (2 marks)

(ii) Her monthly total tax. (4 marks)

(b) Every month, the employee is entitled to;

I. A personal relief of ksh. 1200

II. Insurance relief equal to 15% of her monthly insurance premium.

Her monthly premium is ksh. 2500. Calculate;

(i) Her net tax per month. (2 marks)

(ii) Her net pay per month. (2 marks)

9. The table below shows income tax in a certain year.

Monthly taxable income in Ksh.	Tax rates
0 - 12 298	10%
12 299 - 23 885	15%
23 886 - 35 472	20%
35 473 - 47 059	25%
47 060 and above	30%

In that year, Kamau earned a basic salary of Ksh.45,000 per month. He also enjoyed the following allowances. *House allowance Ksh.35 000, Commuter allowance Ksh.10 000, Medical allowance Ksh 15 000.* He has an insurance scheme for which he pays a monthly premium of Ksh.22 000. He is therefore entitled to a relief of 15% of the premium paid. He contributes 10% of his basic salary to a pension scheme, which is exempted from taxation. He was entitled to a personal relief of Ksh.1 280 per month.

Calculate;

- a. Kamau's monthly taxable income. (2 marks)
- b. The tax payable by Kamau that month. (5 marks)

(c)The following deductions are also made from Kamau's salary every month. SHA of Ksh.320,Cooperative society shares of Ksh.6 000,Union dues of Ksh.200.Calculate Kamau's net monthly salary.(3 mks)

10. The table below shows the rate of taxation in the year 2023.

Monthly income in ksh.	Tax rates (%)
0 – 12298	10%

12299 – 23885	15%
23886 – 35472	20%
35473 – 47059	25%
47060 and above	30%

In that period, John was earning a basic salary of sh. 64000 per month. In addition, he was entitled to a house allowance of sh. 9000, commuter allowance of sh. 7200 and a hardship allowance of sh. 6800 per month. John contributes 12.5% of his basic salary towards a pension scheme. This contribution is exempted from taxation. A personal relief of sh. 1056 p. m. was given. He has an insurance scheme for which he pays a monthly premium of sh. 8000 for which he was entitled to a tax relief of 15% of premium paid.

(a) Calculate John's taxable income p. m. in ksh. (2 marks)

(b) Calculate how much income tax John paid per month. (6 marks)

(c) John's other deductions per month loan repayment of sh. 150000 and a cooperative share of sh. 3500. Calculate his net salary per month. (2 marks)

11. The table below shows income tax in a certain year.

Monthly income in Kenya shilling	Tax rates % in each shilling
Up to 11180	10
11181 – 21714	15
21715 – 32248	20
32249 – 42782	25
42783 and above	30

In the year, Simiyu earned a basic salary of ksh. 50000 per month. He also enjoyed the following allowances.

House allowance	ksh. 30000
Commuter allowance	ksh. 10000
Medical allowance	ksh. 10000

He has an insurance scheme for which he pays a monthly premium of Sh. 24000. He is therefore entitled to a relief on the premium of 15% of the premium paid. He contributes 10% of his basic salary to a pension scheme, which is exempted from taxation. He was entitled to a personal relief of ksh. 1280 per month. Calculate;

(a) Simiyu's monthly taxable income. (2 marks)

(b) The tax payable by Simiyu that month. (5 marks)

(c) Simiyu's net pay that month. (3 marks)



12. The table below shows the income tax rates in a certain year.

Annual taxable income in Ksh	Tax rate in %
0 – 144000	5
144 001 – 300 000	10
300 001 – 468 000	15
468 001 – 648 000	20
648 001 – 840 000	25
Above 840 000	30

During that year Kurenta's annual gross tax in sixth band was sh. 108 000.

(a) Determine Kurenta's annual gross tax. (3 marks)

(b) If he enjoyed annual relief of sh. 21 000 annually, determine his monthly net tax (P.A.Y.E) (2 marks)

(c) Kurenta had a basic salary of sh. X p. a. and enjoyed non taxable allowances that is equivalent to 45% of basic salary. Determine Kurenta's gross salary p.m. (3 marks)

(d) The following deductions were also made from Kurenta's salary every month: Co-operative shares sh. 8 000, Co-operative loans sh. 12 000, Pension scheme sh. 4 000, Union dues sh. 2000. Determine Kurenta's monthly net salary during that year.